U.S. Equity Factor Insights - May 2026

Hit Refresh as Risk-on Returns

Risk-on is back after strong earnings season as war worries fade; we turn Positive Growth & Momo, Neutral Value & High-v-Low Vol, Negative Quality. We stay positive Large-v-Small, as small caps see weaker earnings revision & operating leverage vs large caps, and see multiples expand in some segments

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What's changed:

- Upgrade Growth to Positive
- Downgrade Value to Neutral
- Upgrade Momentum to Positive
- Downgrade Quality to Negative
- Upgrade High-over-Low Volatility to Neutral

What's driving the change:

- We upgrade Growth to Positive as risk-on sentiment has returned, Tech and AI earnings have surprised strongly, and easing inflation expectations improve the relative backdrop for longer-duration assets. Supportive positioning, with discretionary and systematic flows into large-cap Tech, reinforces near-term momentum.
- We downgrade Value to Neutral as its defensive, anti-AI profile is less attractive in a risk-on market. Elevated long-end rates offer only partial support, while weak consumer sentiment weighs on Value's consumer-heavy exposure, limiting upside catalysts.
- We upgrade Momentum from Neutral to Positive as the rally has proven resilient amid the renewed risk-on environment. Concerns around crowded positioning are mitigated by fundamentals, with Momentum delivering the strongest earnings profile across factors, including NTM EPS growth above 100% YTD and forward earnings at the 93rd percentile versus history. Valuations remain supportive despite the price run, and favorable seasonality into May and June reinforces the case for a more constructive stance.
- We downgrade Quality from Neutral to Negative as the market's renewed optimism has shifted investor demand toward semiconductors, hardware, and more speculative AI-linked exposures, leaving Quality's defensive attributes out of favor. At the same time, Quality's sales

and earnings growth characteristics are historically subdued relative to other styles. Despite recent price declines, valuations remain elevated, reinforcing our preference for growth-oriented and trend-following factors over Quality.

- We upgrade High-over-Low Volatility to Neutral following a sharp rebound of roughly 31% from its YTD trough, supported by easing Iran-related energy concerns and the renewed risk-on impulse driven by a strong 1Q26 earnings season and sustained AI infrastructure spending. While valuation is now stretched, with forward PE at the 71st percentile versus history, fundamentals have improved meaningfully, with NTM EPS growth around 90% YTD and earnings finally catching up with prices. A mixed sector composition tempers conviction, leaving us less bearish but not constructive enough to turn positive.

What stays the same?

- We remain Positive on Large-over-Small, as large caps continue to show clear fundamental advantages, with stronger earnings revisions, materially higher operating leverage, and better margin dynamics than small caps. While small caps look cheaper on the surface, recent gains in key industries have been driven more by multiple expansion than earnings, leaving them vulnerable if sentiment turns. With rates likely higher for longer and small-cap leverage still elevated, our conviction remains strongest in mega caps, where hyperscaler-led AI infrastructure spending continues to underpin earnings visibility.

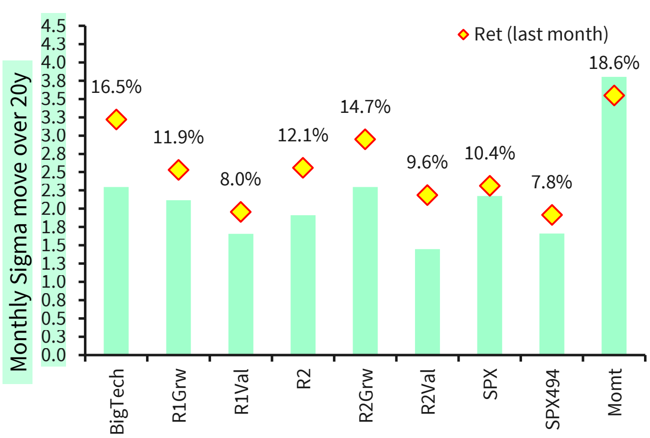
- We remain Neutral on Yield, as the return of risk-on sentiment continues to favor Growth and Momentum, leaving Yield’s defensive, bond-proxy appeal less differentiated. Strong April payrolls (115k vs. 65k consensus) and a steady 4.3% unemployment rate have reduced expectations for Fed easing, with only one cut now expected through 2027, weakening the macro case for cash-generative strategies. However, cheap valuations and light positioning limit downside risk, supporting a neutral stance.

US factor analysis and views: May 2026

Equity market performance in April 2026:

- Risk assets posted an exceptional run in April, with the S&P 500 up more than 9% and Big Tech rallying by over 16%, as Growth outperformed Value across both large and small caps.
- The rally was supported by easing U.S.–Iran tensions, allowing equity sentiment to decouple from oil-related concerns despite ongoing geopolitical uncertainty.
- 1Q26 earnings have materially exceeded expectations, with strong Y/Y EPS growth driving elevated beat rates and outsized surprises across sectors. Within Big Tech, EPS surprises are tracking at +15.6% versus a long-term median of +7.2%, led primarily by Amazon; EPS growth of +35.8% Y/Y marks the fastest pace since 2Q24.
- Valuations have begun to re-rate again, with Big Tech's NTM P/E rebounding from ~23x earlier this month to ~26x, alongside upward revisions to Street FY26 EPS estimates (consensus now ~$334), driven mainly by Energy and, to a lesser extent, TMT.
- Amid this constructive backdrop, Barclays highlights that the resilience in US equities thus far can at least partly be explained by the energy shock being closer to five weeks old than eight weeks (see Living off the insurance, 4-May-26) due to sizeable inventories at the beginning of the conflict in Iran, but the expectation of only one Fed cut (penciled in for March 2027) combined with elevated energy prices for the rest of the year and a shrinking buffer in crude and refined product inventories, poses growing medium-term headwinds for risk assets.

FIGURE 1. Risk-on was back in full force in April, with Growth outpacing Value across cap sizes, and Momo surging



Data as of 04/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 2. Energy has declined by 9.9% thus far in 2Q26 despite material earnings growth; TMT is leading all other sectors this quarter

	24Q2	24Q3	24Q4	25Q1	25Q2	25Q3	25Q4	26Q1	26Q2
SPX	3.9%	5.5%	2.1%	-4.6%	10.6%	7.8%	1.7%	-4.6%	13.3%
COMM	9.1%	1.4%	8.6%	-6.4%	18.2%	11.8%	6.4%	-7.1%	20.6%
COND	0.4%	7.6%	14.1%	-14.0%	11.3%	9.4%	-0.1%	-9.3%	14.3%
CONS	0.7%	8.3%	-3.8%	4.6%	0.5%	-2.9%	-0.3%	7.0%	2.6%
ENR	-3.2%	-3.1%	-3.1%	9.3%	-9.4%	5.1%	-0.4%	37.2%	-9.9%
FINL	-2.4%	10.2%	6.6%	3.1%	5.1%	2.9%	0.4%	-9.8%	3.6%
HLTH	-1.4%	5.7%	-10.7%	6.1%	-7.6%	3.3%	10.5%	-5.3%	-2.2%
INDU	-3.1%	11.1%	-2.7%	-0.5%	12.6%	4.5%	-0.6%	4.3%	7.1%
INFT	13.6%	1.4%	4.7%	-12.8%	23.5%	13.1%	0.9%	-9.3%	27.4%
MATR	-4.9%	9.1%	-12.8%	2.3%	2.6%	2.6%	-0.6%	9.3%	2.9%
RE	-2.8%	16.3%	-8.8%	2.7%	-1.0%	1.7%	-4.4%	1.9%	8.4%
UTIL	3.6%	18.5%	-6.2%	4.1%	3.5%	6.9%	-2.5%	7.5%	-2.7%

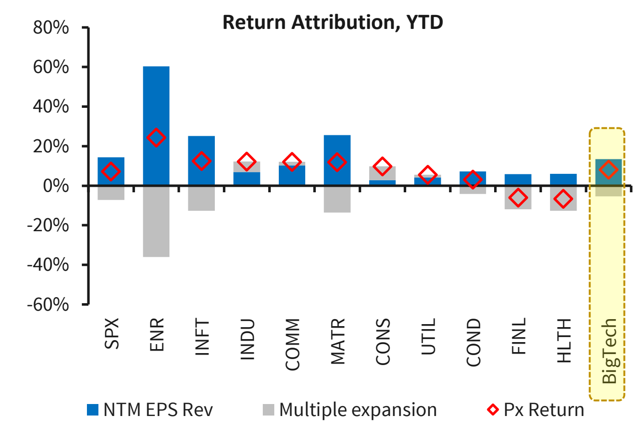
Data as of 05/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 3. Earnings growth is running ahead of sales growth, signaling improving operating leverage

26Q1	SPX	Mid	SML	BigTech	TechX	SPX w/o Tech	SPX494	R1 Value	R1 Growth
% reported	88%	85%	84%	86%	73%	90%	88%	84%	78%
EPS Surprise	18.0%	7.9%	7.1%	40.7%	17.8%	10.0%	11.0%	11.0%	20.0%
LT Median	5.2%	5.9%	3.6%	7.2%	5.1%	4.9%	4.9%	5.7%	4.7%
EPS Beats	87%	76%	69%	100%	98%	85%	87%	80%	81%
LT Median	76%	69%	65%	86%	88%	75%	76%	71%	75%
y/y EPS Growth	18.1%	13.9%	18.1%	27.7%	48.9%	9.4%	14.7%	12.3%	18.5%
LT Median	6.3%	7.8%	8.3%	9.0%	8.7%	5.5%	5.8%	5.8%	5.0%
Sales Surprise	2.1%	2.0%	2.1%	2.1%	3.8%	2.0%	2.1%	2.1%	0.9%
Sales Beats	79%	71%	67%	100%	90%	77%	78%	75%	77%
y/y Sales Growth	8.6%	4.0%	13.2%	25.6%	24.0%	4.9%	5.8%	3.2%	16.8%
LT Median	4.1%	6.9%	11.9%	14.6%	2.6%	3.8%	3.8%	2.7%	5.4%
Net Margins	14.4%	8.0%	5.6%	28.1%	24.1%	11.0%	12.3%	11.0%	18.4%
y/y Margins	1.2%	0.7%	0.2%	0.5%	4.0%	0.5%	1.0%	0.9%	0.3%

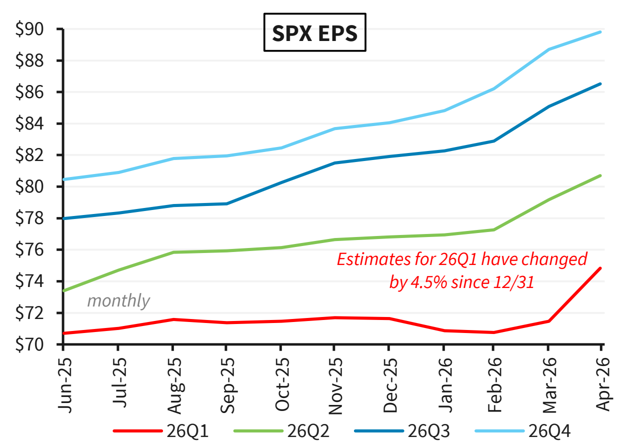
Data as of 05/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 4. Energy, Materials and TMT have seen returns driven by earnings growth, with valuations compressing



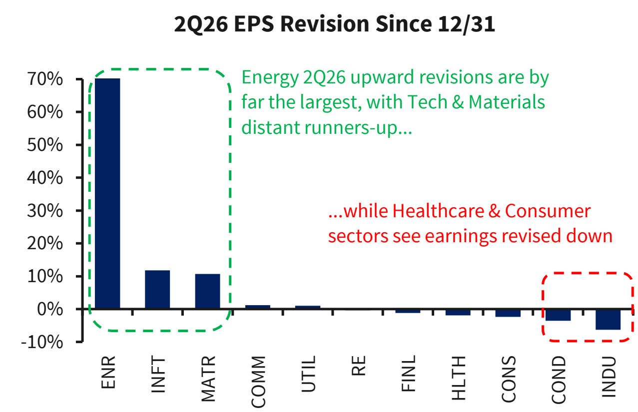
Data as of 05/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 5. Earnings for all four quarters have been revised up since 1Q26 season began



Data as of 04/29/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 6. Among sectors, Energy by far has seen the most dramatic upward revision, following by Tech and Materials



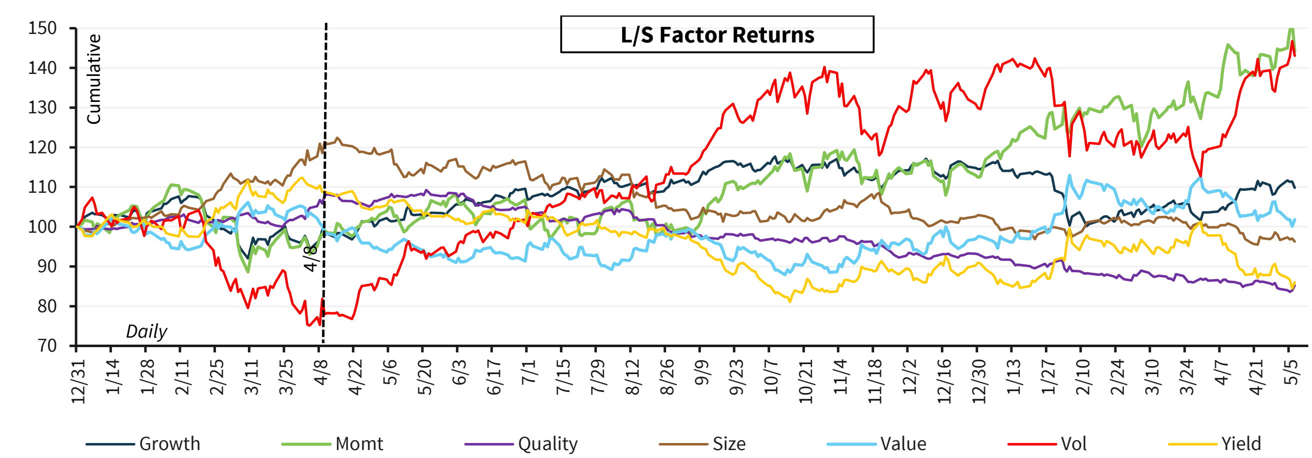
Data as of 04/29/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

US Factor Basket Performance in the Past Month

Our **all-cap liquidity-weighted** US Factor baskets (see Global Equity Strategy - Updating Barclays Equity Factor Baskets for Liquidity Weighting, 4/2/2025) attempt to capture factor premiums while controlling for stock and sector weights.

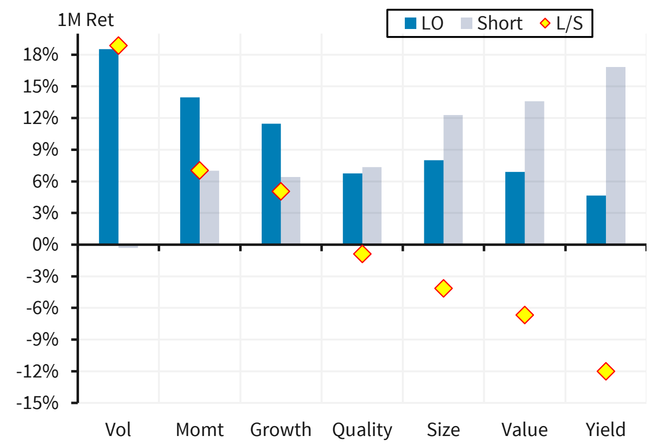
- **High over Low Volatility:** The standout performer over the past month, with the long/short pair up 18.9%, as risk-on sentiment returned following the easing of Iran-related energy concerns; performance was volatile during the height of the conflict but rebounded sharply as oil fears subsided.
- **Momentum:** Also among the strongest factors, gaining 7.0%, driven by renewed leadership from AI- and Tech-exposed names; after pronounced choppiness during the peak of geopolitical uncertainty, investors re-engaged aggressively as sentiment stabilized.
- **Value:** Sold off 6.7% in the past month, with weakness beginning in late March, coinciding with the recovery in Volatility and Momentum; consistent with its role as an “anti-AI” style, Value retraced following its strong run during the height of the Iran conflict.
- **Yield:** Declined 12.0%, mirroring Value’s underperformance, as income-oriented and defensive exposures fell out of favor amid the resurgence in Tech optimism and growth-oriented positioning.
- **Growth:** Rebounded by 5.1% in the past month, with the gain being fairly broad-based; that said, leadership came from communications/electrical equipment and semiconductor names as AI and hardware enthusiasm re-accelerated.
- **Size (Large over Small):** Fell by 4.1%, reflecting a sharp recovery in small caps since late March, even as mega-cap stocks also continued to grind higher.
- **Quality:** Stayed flat (down ~0.9%) in the past month, extending its lackluster performance following earlier gains during the Liberation Day crisis and offering little downside protection in the recent risk-on environment.

FIGURE 7. **After a few lackluster months, High-over-Low Volatility has seen a dramatic recovery, gaining over 26% since end of March; Quality continues its steady decline, and is now the worst performer YTD**



Total returns are used here for the Baskets. Past performance is not necessarily indicative of future results. Size measures returns of large caps over small caps, while Volatility captures returns of high volatility stocks vs. those with low volatility. Data as of 05/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 8. Vol, Momo and Growth rallied in the past one month



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Data as of 05/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 9. Momo's high correl with Vol has recently moderated

	2013 - 2019 LT corr.						
12 Month	GRW	MOM	QUAL	SIZE	VAL	VOL	YLD
GRW		0.51	0.08	0.01	-0.56	0.13	-0.57
MOM	0.06		0.39	0.35	-0.70	-0.36	-0.40
QUAL	0.40	0.40		0.57	-0.37	-0.55	0.23
SIZE	-0.05	0.32	0.33		-0.29	-0.79	0.33
VAL	-0.68	-0.61	-0.61	-0.42		0.21	0.65
VOL	0.80	0.36	0.22	-0.31	-0.64		-0.33
YLD	-0.67	-0.59	-0.20	0.10	0.78	-0.90	

Total returns are used here for the Baskets. Past performance is not necessarily indicative of future results. Size measures returns of large caps over small caps, while Volatility captures returns of high volatility stocks vs. those with low volatility.
Data as of 04/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

US Factor Discussion & Recommendations

We mainly use three criteria to formulate our factor views – relative fundamentals of our factor baskets vs. their own history, current macro events along with past event studies, and our market outlook ahead.

FIGURE 10. Current US Factor Recommendations - May 2026

Factor	Description	View	Rationale
Growth	High - low	▲ Positive	Risk-on is back as Tech/AI sentiment improved. 1Q26 earnings beat, led by TMT; Energy revisions add tailwind. Inflation expectations easing. Rates less friendly but relative backdrop still better than Value. Flows are supportive: long-only adding Tech, CTAs buying large-cap Tech.
Size	Large over Small	Positive	Small-cap fundamentals are still weak versus large: softer revisions, limited operating leverage, high debt. Valuation cheapness masks multiples expansion-driven rallies in key small-cap industries like semis, software and construction. Rates stay higher for longer, making financing costs a drag. As a caveat, small caps may benefit from trickle down of AI capex. Conviction remains highest in mega caps with hyperscaler-led earnings and margin strength.
Momentum	Long / Short trend	▲ Positive	Rally appears to stay intact for the near term as risk-on is back. Earnings justify move: NTM EPS growth >100% YTD, strongest across factors; forward vs trailing earnings at 93rd %-ile vs last 10 year history. Valuation supportive despite rally: forward PE at 30th %-ile vs 10 years. Earnings since end-2024 outpace price. Seasonality favorable in May–June.
Quality	High - low	▼ Negative	Downgrade to negative, since risk-on rotation back into semis, hardware, speculative AI plays has adverse implication for Quality as its defensive appeal fades. Sales and earnings growth historically weak versus other styles. Valuation still elevated despite price declines; PE ratio relative to US equities at large is at 65th %-ile vs past two years.
Value	Cheap - expensive	▼ *neutral*	Risk-on undercuts Value's defensive, anti-AI appeal, and easing inflation makes Value less attractive vs Growth. In recent history, Value has worked mainly in AI rotations and risk-off, neither present. High long-end rates offer limited support. Consumer sentiment remains stubbornly weak, which makes Value's consumer tilt a drag.
Volatility	High vol - low vol	▲ *neutral*	Sharp rebound (~31% from YTD trough) as risk-on returns, Iran energy fears fade, earnings strong. Valuation stretched: forward PE at 71st percentile. But fundamentals improved: ~90% NTM EPS growth YTD; earnings now catching up to price. Sector mix mixed—Tech/Industrials help, Healthcare headwind; Low Vol benefits from Utilities/Financials.
Yield	High - low	*neutral*	Growth and Momentum favored as risk-on dominates, making income generating strategies less attractive. Strong April payrolls (115k vs 65k), unemployment 4.3%; Fed cuts pushed out, with only one through 2027. This makes Yield's bond proxy appeal weaker. This is offset by valuation and positioning: forward PE at 15th percentile; least crowded style. Hence, no upside catalyst, but downside also limited.

View as of 05/11/2026. Note: Positive: We recommend increasing exposure to the factor. Neutral: We recommend maintaining exposure to the factor. Negative: We recommend decreasing exposure to the factor.
Source: Barclays Research

Turn Positive on Growth and Neutral on Value – Our factor stance stays tilted in favor of Value and Neutral on Growth for the following reasons:

- We upgrade Growth from Neutral to Positive as the market backdrop has turned more constructive, with risk appetite improving alongside a renewed sense of optimism around Tech and AI. Concerns around a broader Iran-related escalation have eased, allowing investors to refocus on corporate earnings, where Growth-oriented sectors have delivered encouraging signals.

- Early 1Q26 earnings results have come in meaningfully ahead of expectations, led by TMT, reinforcing confidence in secular growth narratives. In parallel, Energy has seen dramatic upward earnings revisions driven by elevated oil prices, as highlighted by our oil analyst, and Growth's structural tilt toward these sectors positions it well to benefit from this earnings momentum.

- From a macro perspective, inflation expectations have continued to ease, making the environment incrementally more benign for Growth relative to Value, even if the rates outlook remains less supportive than previously assumed. Fed cut expectations have been pared back, with Barclays economists now expecting only one cut through 2027YE, but easing inflation expectations still improve the relative backdrop for longer-duration Growth assets.

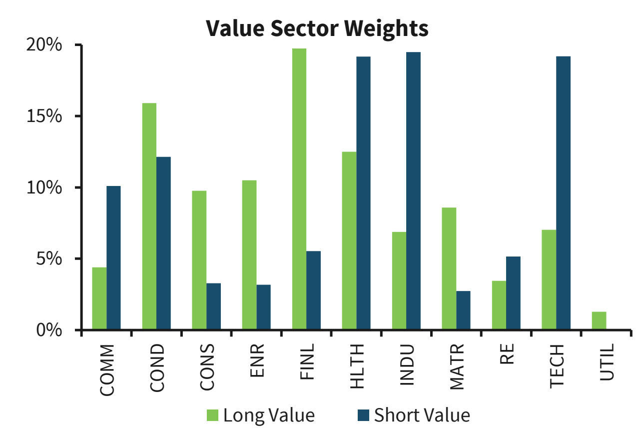
- Positioning dynamics also argue for a more favorable near-term setup for Growth. Long-only investors have been selectively adding exposure to Tech, while CTA signals continue to point toward incremental systematic buying of large-cap Tech stocks, creating a potential self-reinforcing tailwind for Growth-oriented styles.

- By contrast, we downgrade Value from Positive to Neutral. As we have noted previously, Value—along with Yield—has tended to behave as an "anti-AI" style, benefiting primarily during episodic rotations out of AI-linked exposures in risk-off environments. With markets firmly in risk-on mode, this defensive appeal has faded, and while elevated long-end rates—partly driven by US fiscal concerns—still offer some relative support to Value, this is no longer sufficient to sustain a positive stance. Moreover, consumer sentiment staying at subdued levels in recent months provide further headwind to Value, which is tilted toward consumer sectors. Taken together, we find sufficient reasons to justify a downgrade of our stance on this style to neutral.

FIGURE 11. Growth basket has a large tilt toward Tech & Energy and away from Staples & Real Estate

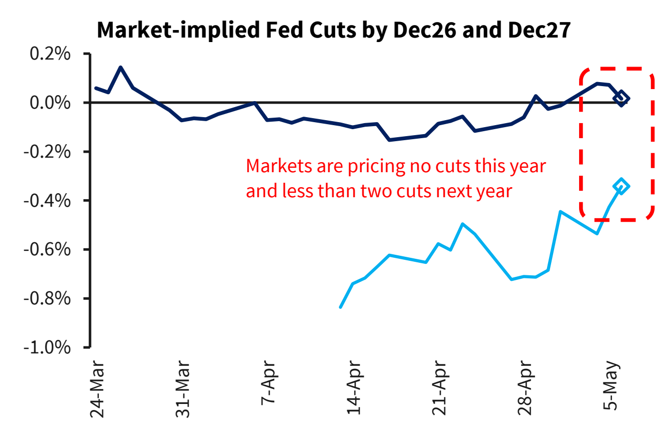
Data as of 04/30/2026
Source: LSEG Data & Analytics, Barclays Research

FIGURE 12. Value basket is tilted towards Financials & Materials and away from TMT



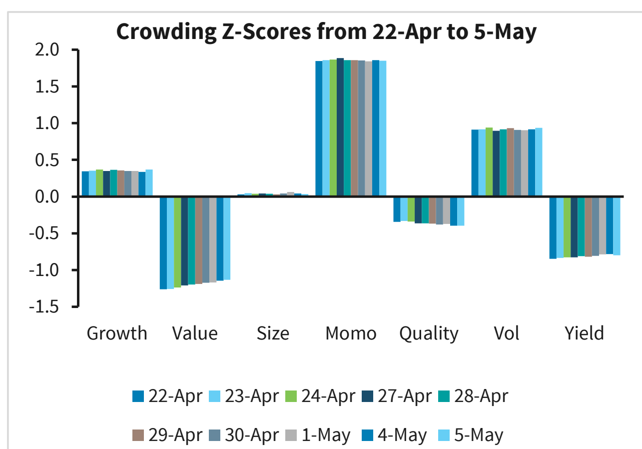
Data as of 04/30/2026
Source: LSEG Data & Analytics, Barclays Research

FIGURE 13. Rate cut expectations till 2026YE and 2027YE have been pared back



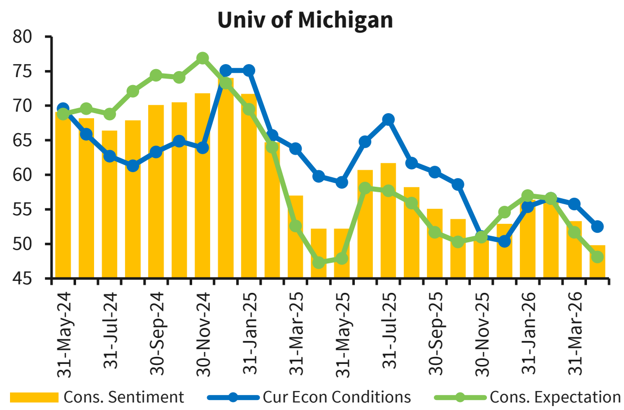
Data as of 05/06/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 14. Over the past two weeks, Growth's crowding level has been higher than Value but lower than Momo and Vol



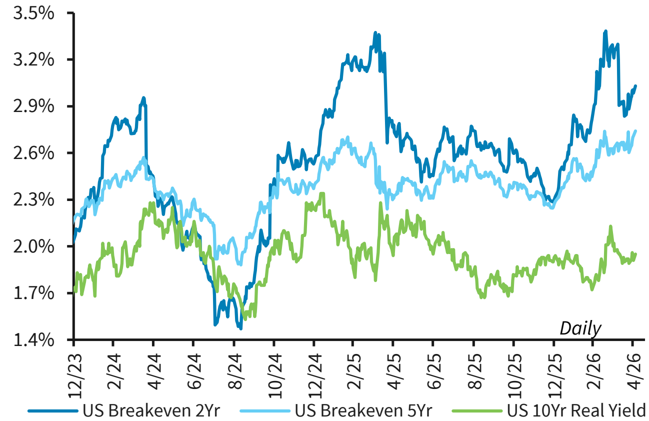
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 15. **Consumer sentiment remains at subdued levels**



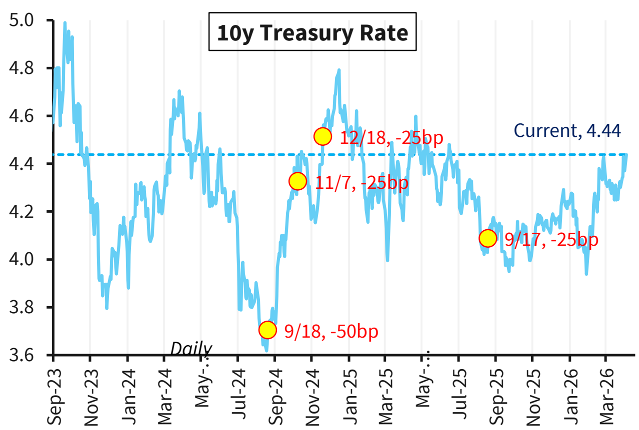
Data as of 04/30/2026
Source: Bloomberg

FIGURE 16. **Short term Inflation expectations have have sharply pared back from the height of the conflict**



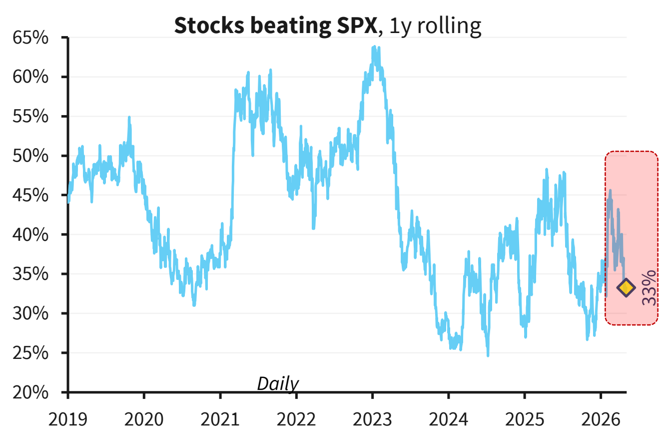
Data includes previous revisions, if any. Data as of 05/04/2026
Source: Bloomberg

FIGURE 17. **10-year rate is currently at 4.44%**



Data as of 05/01/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 18. **The market has narrows again as Tech leads the way**



Data as of 05/04/2026
Source: Bloomberg, Barclays Research

We stay Positive on Large-over-Small for the following reasons:

- Small cap fundamentals continue to look unremarkable relative to large caps: Earnings revisions over the next four quarters remain more modest than across most large-cap segments, and in 1Q26 earnings growth has only narrowly exceeded sales growth (14.2% vs. 12.0%), in contrast to large caps where earnings growth is materially outpacing revenue growth (17.6% vs. 7.6%), signaling stronger operating leverage and margin dynamics at the top end of the market.

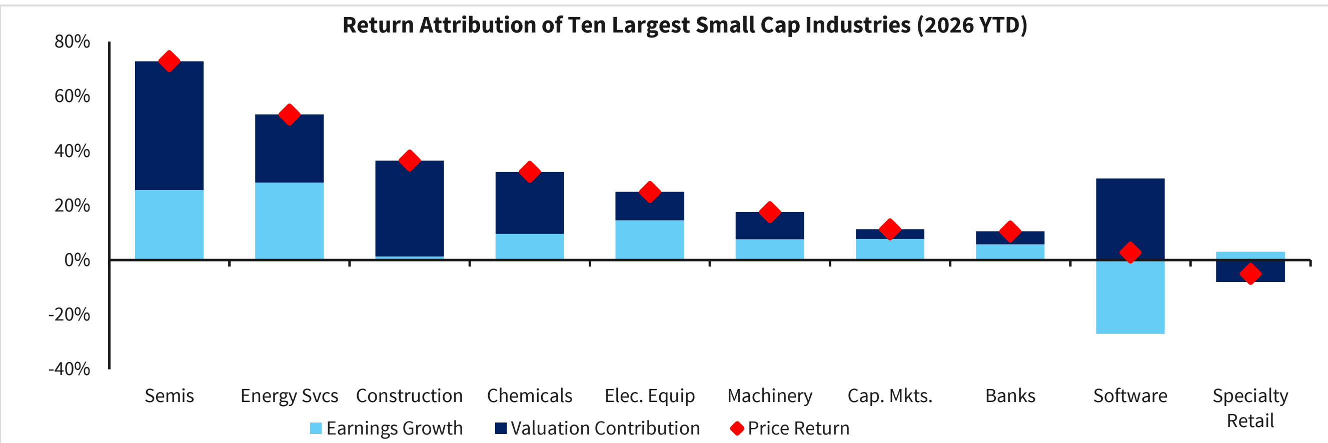
- Valuations in small caps still appear cheaper in aggregate, but this masks growing internal dispersion, as several of the largest small-cap industries have seen year-to-date price appreciation driven more by multiple expansion than by underlying earnings growth, particularly in software, semiconductors, construction and chemicals, leaving these segments more exposed to a potential shift in investor sentiment.

- The macro backdrop remains a headwind for the factor as we expect only a single policy rate cut through the end of 2027, and with small cap balance sheets still carrying historically high debt levels relative to EBITDA, financing costs and leverage dynamics are likely to remain a constraint on profitability.

- That said, the AI capex supercycle should gradually begin to filter down to parts of the small cap universe, much as it has already benefited large-cap utilities, energy and industrials, as supply struggles to keep pace with surging compute demand, offering incremental support to select industries such as semiconductors, electronic and communications equipment manufacturers, and utility operators.

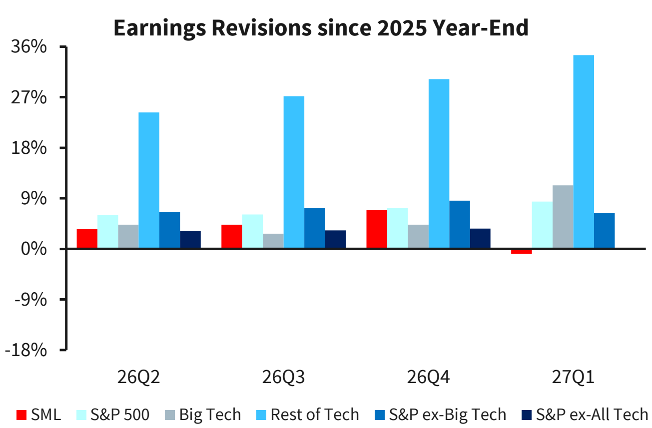
- Overall, the combination of selective secular tailwinds and underwhelming near-term fundamentals leaves us lukewarm on small caps, while our conviction remains strongest in mega caps where hyperscalers continue to invest aggressively in infrastructure to meet massive compute demand, reinforcing our positive stance on the Large-over-Small Size factor.

FIGURE 19. **Several of the largest industries within small caps have seen most of their price surges driven more by multiples expansion than earnings growth, especially Software, Semis, Construction and Chemicals**



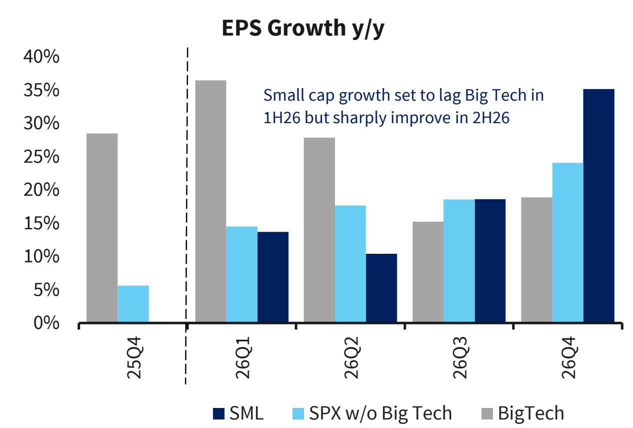
Data as of 05/07/2026
Source: Bloomberg, Barclays Research

FIGURE 20. **Small cap earnings revisions are worse than large caps for the next few quarters**



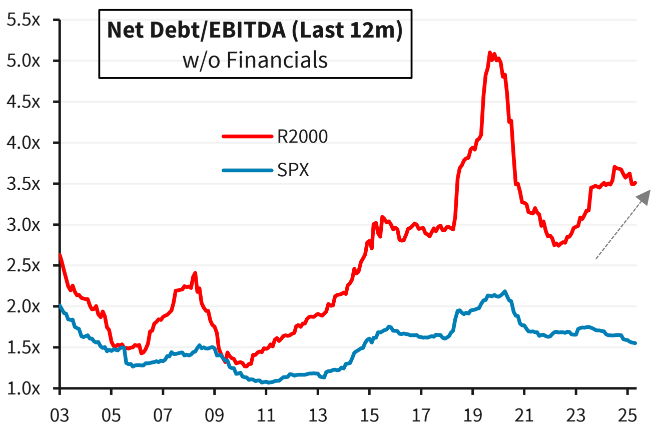
Data as of 05/05/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 21. **Earnings growth for small caps is expected to stay muted vs Big Tech in 1H26, but pick up in 2H26**



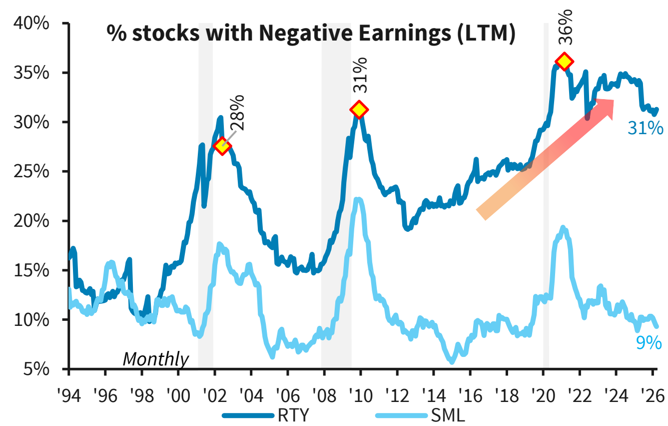
Data as of 04/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 22. **Small caps remain more levered than Large caps ...**



Data as of 03/27/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 23. **... but the share of unprofitable names is declining from recent highs**



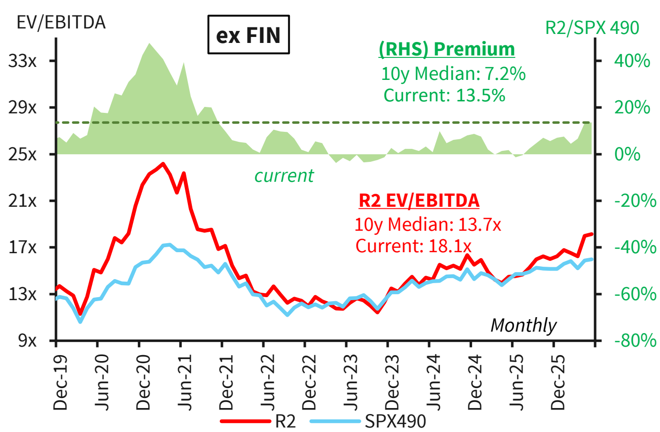
Data as of 03/27/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 24. **Small cap valuation is relatively cheap**

NTM P/E	US Equities		
	Current	10y Pctle	vs. SPX
Small	16.7x	0.35	0.38
Mid	17.3x	0.50	0.44
Large	21.2x	0.66	0.00
Communications Services	21.8x	0.88	0.97
Consumer Discretionary	29.7x	0.76	0.75
Consumer Staples	22.5x	0.98	0.56
Financials	14.7x	0.58	0.21
Health Care	16.7x	0.45	0.21
Industrials	25.4x	0.87	0.96
Information Technology	24.6x	0.53	0.41
Materials	18.3x	0.49	0.16
Utilities	18.8x	0.60	0.38

Data as of 04/06/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 25. **Valuations of small cap ex-Fin are modestly above the long-term median**



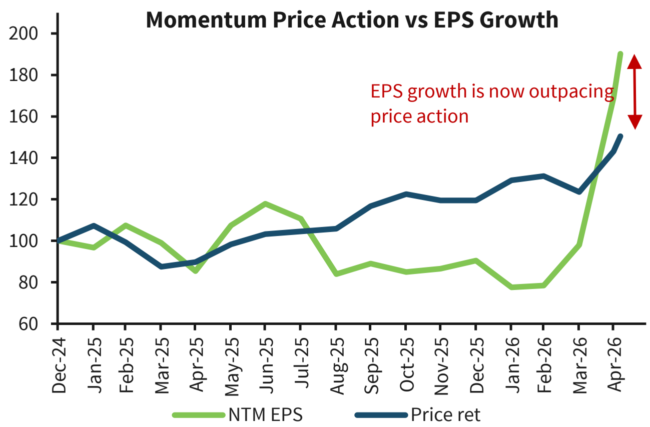
Data as of 04/06/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

Upgrade **Momentum** from **Neutral** to **Positive** for the following reasons:

- Momentum has extended its rally for several months, with only brief interruptions, most notably during the early days of the war in Iran. As risk-on sentiment has reasserted itself, the style has continued to print new highs, naturally raising concerns around the risk of sharp unwinds after such a strong run.
- Those concerns are mitigated by fundamentals. Momentum has delivered exceptionally strong earnings through the current reporting season, with NTM EPS growth now above 100% YTD, the highest across all factors. In addition, the ratio of next-12-months earnings to trailing-12-months earnings sits at the 93rd percentile versus the past 10 years, one of the strongest readings among styles.
- Valuations have moved in the opposite direction. Despite the price rally, Momentum's forward PE has compressed to the 30th percentile relative to the last 10 years, making it one of the cheapest styles in our framework, second only to Yield.

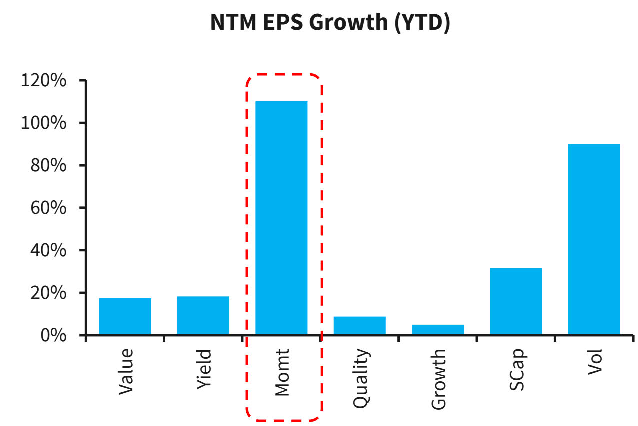
- Looking back further to 2024 year-end, earnings growth has since materially outpaced the already impressive price appreciation, reinforcing the robustness of the rally. Seasonality also helps: May and June have historically been reliable months for Momentum performance. Taken together, these factors support upgrading our stance from neutral to positive.

FIGURE 26. Momentum's earnings growth is now outpacing price action



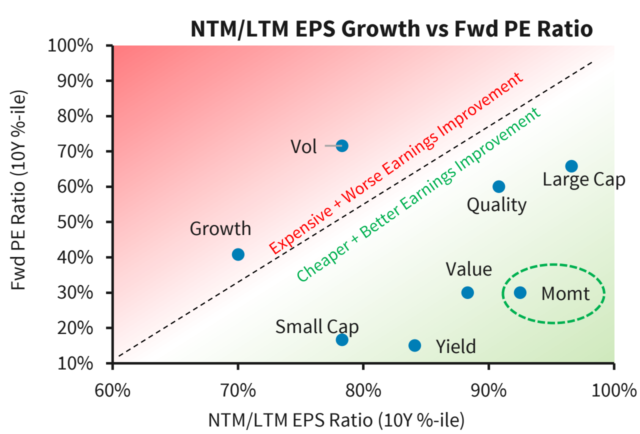
Source: Bloomberg, Barclays Research

FIGURE 27. Momentum's earnings growth is by far the highest across styles



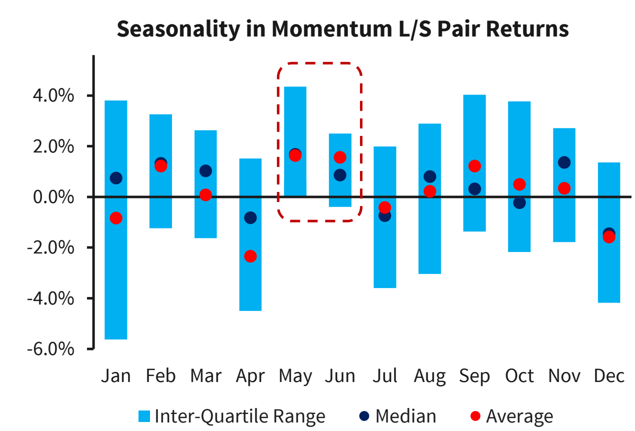
Source: Bloomberg, Barclays Research

FIGURE 28. Momentum's earnings growth (relative to 10Y history) is among the best across styles, while valuation is among the cheaper ones



Source: Bloomberg, Barclays Research

FIGURE 29. May and June have been reliably positive months for Momentum



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

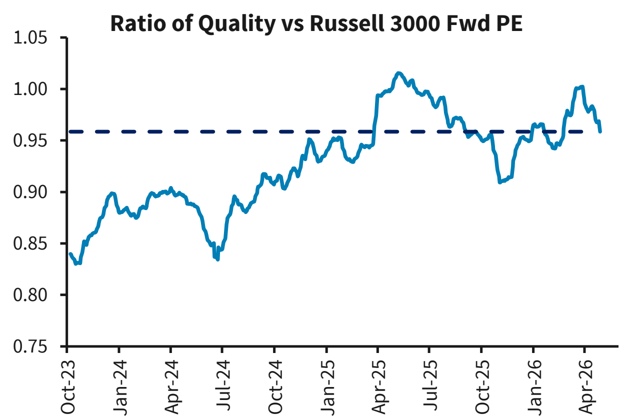
Turn Negative on Quality – We downgrade our view on Quality from Neutral to Negative for the following reasons:

- Quality looks unattractive in the current risk-on environment, as investors appear to be putting Iran war fears largely behind them and rotating back toward semiconductors, hardware and more speculative corners of equities amid historic AI capex spending that shows no signs of slowing, leaving the style's traditional defensive appeal with limited demand. Indeed, Quality's sales and earnings growth attributes are at historically subdued levels, compared to all other styles.

- Despite several months of decline in its price, Quality's valuation versus US equities overall still remains fairly elevated, now sitting at the 65th percentile relative to the past two years. Moreover, as shown in Figure 28, Quality remains one of the more expensive styles.

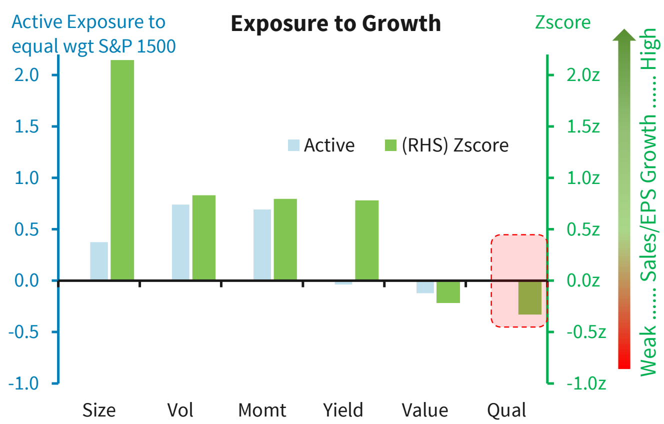
- As a result, we are turning Negative towards Quality, as we favor more growth-oriented and trend following styles.

FIGURE 30. Quality's valuation vs US equities at large recently moderated but still remains elevated



Source: Bloomberg, Barclays Research

FIGURE 31. Quality's exposure to Growth is especially weak compared to other styles



Source: LSEG Data & Analytics, Barclays Research

Upgrade to Neutral on High-over-Low Volatility – We upgrade our view on Volatility to Neutral for the following reasons:

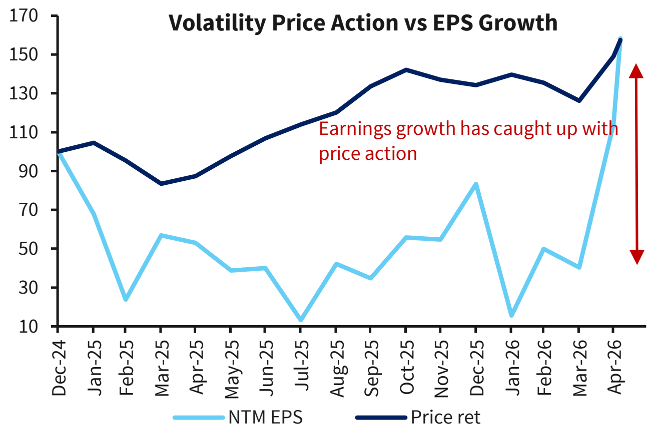
- The factor has rallied sharply after weakness in February and March (rallying by ~31% from YTD trough), helped by fading concerns around the Iran war energy shock, a strong 1Q26 earnings season, and a renewed risk-on impulse as hyperscaler AI infrastructure spending continues to feel almost inexorable.

- The valuation case is no longer comfortable: High-over-Low Volatility now trades with forward PE at the 71st percentile versus the last 10 years, making it the most stretched style on that basis. But the earnings backdrop has improved enough to temper the bearish view. NTM EPS growth is roughly 90% YTD, second only to Momentum, suggesting today's basket is less "junky" than the factor's historical reputation implies.

- Looking back to the beginning of 2025, earnings growth has finally caught up with price action after lagging for much of the period. That matters because the rally is no longer simply a multiple story; fundamentals are now doing a lot of the work, leaving us less pessimistic about the factor's current composition.

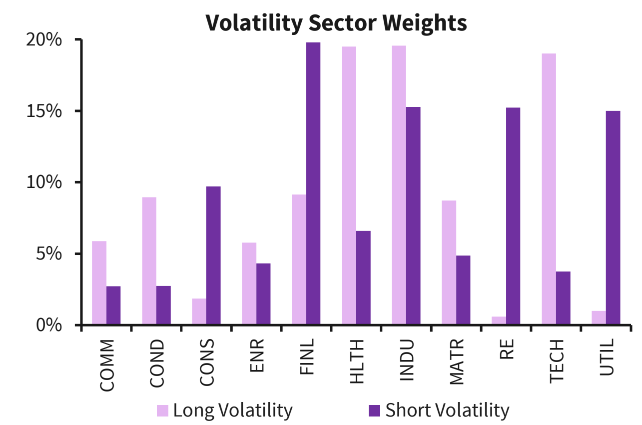
- Sector exposure leaves a more mixed picture. The High-vs-Low Volatility basket tilts toward Tech, Healthcare, and Industrials, and away from Utilities, Financials, and Real Estate. Tech and Industrials exposure should help the High Volatility leg, given our positive view, but Healthcare is a headwind; meanwhile, Low Volatility's Utilities and Financials exposure may also be a source of benefit given our positive outlook on those sectors.

FIGURE 32. **Earnings growth for Volatility basket has closed the gap with price action**



Source: LSEG Data & Analytics, Barclays Research

FIGURE 33. **Vol basket has a tilt towards Tech, Healthcare & Discretionary, and away from Utilities, Real Estate & Financials**



Source: LSEG Data & Analytics, Barclays Research

Stay Neutral on Yield (Dividends + Buybacks) – We remain Neutral on Yield, as the setup does not look materially more compelling than it did last month, when we upgraded the style to Neutral. Risk appetite is firmly back in the driver's seat, leaving styles such as Growth and Momentum better aligned with the current market tone and making Yield's defensive appeal less differentiated. The macro backdrop has also become less supportive: April payroll data on Friday, May 8 surprised sharply to the upside (115k actual vs 65k consensus) and the unemployment rate held steady at 4.3%, reducing the urgency for Fed easing, while Barclays economists already expect only one cut through the end of 2027. In that context, the case for cash-generative strategies that often behave like bond proxies looks less attractive, particularly when investors are being rewarded for leaning into risk rather than hiding from it. That said, the downside case is also not especially compelling. Yield remains one of the cheapest styles we track, with its forward PE at the 15th percentile versus the last 10 years (Figure 28), and positioning is the least crowded across our style universe (Figure 14). Those two features should help limit the risk of a disorderly, convex move lower. Taken together, the factor lacks an obvious upside catalyst, but its valuation and positioning support argue against a more negative stance, leaving us comfortable maintaining a Neutral view.

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